



A Gore-Tex representative holds footwear with Gore-Tex Surround product technology at the Outdoor Retailer's summer show in Salt Lake City. Gore-Tex employees are able to thrive in the self-sufficient, people-oriented culture encouraged by its founder, Bill Gore.

Source: Rick Bowmer/AP Images

organizational culture

The shared values, principles, traditions, and ways of doing things that influence the way organizational members act and that distinguish the organization from other organizations

What Is Organizational Culture?

W. L. Gore & Associates is known for Gore-Tex and high-quality fabrics among its many products. It also is famous for its strong organizational culture.⁷ Since its founding in 1958, Gore has used employee teams in a flexible, nonhierarchical organizational arrangement to develop its innovative products. Associates (employees) at Gore are committed to four basic principles articulated by company founder, Bill Gore: (1) fairness to one another and everyone you come in contact with; (2) freedom to encourage, help, and allow other associates to grow in knowledge, skill, and scope of responsibility; (3) the ability to make your own commitments and keep them; and (4) consulting other associates

before taking actions that could affect the company's reputation. These principles have contributed to creating the type of independent, people-oriented culture Bill Gore wanted. And it works well for the company. It has an annual voluntary turnover rate among full-time employees of just 3 percent. It has also earned a position on *Fortune's* annual list of "100 Best Companies to Work For" every year since the list began in 1998.

Organizational culture has been described as the shared values, principles, traditions, and ways of doing things that influence the way organizational members act and that distinguish the organization from other organizations. In most organizations, these shared values and practices have evolved over time and determine, to a large extent, how "things are done around here."⁸

Our definition of culture implies three things. First, culture is a *perception*. It's not something that can be physically touched or seen, but employees perceive it on the basis of what they experience within the organization. Second, organizational culture is *descriptive*. It's concerned with how members perceive the culture and describe it, not with whether they like it. Finally, even though individuals may have different backgrounds or work at different organizational levels, they tend to describe the organization's culture in similar terms. That's the *shared* aspect of culture.

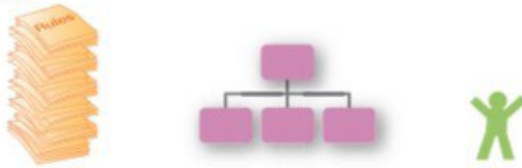
Research indicates six dimensions that appear to capture the essence of an organization's culture:⁹

1. **Adaptability**—The degree to which employees are encouraged to be innovative and flexible and to take risks and experiment.
2. **Attention to detail**—The degree to which employees are expected to exhibit precision, analysis, and focus on details.
3. **Outcome orientation**—The degree to which management emphasizes results rather than on the techniques and processes used to achieve them.
4. **People orientation**—The degree to which management decisions consider the effect of outcomes on people within and outside the organization.
5. **Team orientation**—The degree to which collaboration is encouraged and work activities are organized around teams rather than individuals.
6. **Integrity**—The degree to which people exhibit honesty and high ethical principles in their work.

Each of the six dimensions range from low to high, meaning it's not very typical of the culture (low) or is very typical of the culture (high). Describing an organization using these six dimensions gives a composite picture of the organization's culture. Exhibit 3-5 describes how the dimensions can create significantly different cultures.

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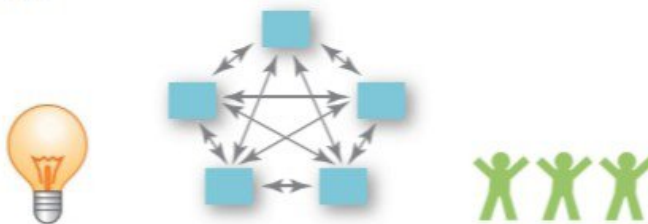
Ninety-two percent of leaders from successful companies believe that workplace culture has a high impact on their company's financial performance.⁶

Organization A

This organization is a manufacturing firm. Managers are expected to fully document all decisions, and “good managers” are those who can provide detailed data to support their recommendations. Creative decisions that incur significant change or risk are not encouraged. Because managers of failed projects are openly criticized and penalized, managers try not to implement ideas that deviate much from the status quo. One lower-level manager quoted an often-used phrase in the company: “If it ain’t broke, don’t fix it.”

There are extensive rules and regulations in this firm that employees are required to follow. Managers supervise employees closely to ensure there are no deviations. Management is concerned with high productivity, regardless of the impact on employee morale or turnover.

Work activities are designed around individuals. There are distinct departments and lines of authority, and employees are expected to minimize formal contact with other employees outside their functional area or line of command. Performance evaluations and rewards emphasize individual effort, although seniority tends to be the primary factor in the determination of pay raises and promotions. Evaluations also focus on results, and management recognizes that ends can sometimes justify means.

Organization B

This organization is also a manufacturing firm. Here, however, management encourages and rewards risk-taking and change. Decisions based on intuition are valued as much as those that are well rationalized. Management prides itself on its history of experimenting with new technologies and its success in regularly introducing innovative products. Managers or employees who have a good idea are encouraged to “run with it,” and failures are treated as “learning experiences.” The company prides itself on being market driven and rapidly responsive to the changing needs of its customers.

There are few rules and regulations for employees to follow, and supervision is loose because management believes its employees are hardworking, trustworthy, and will act with high moral standards. Management is concerned with high productivity but believes this comes through treating its people right. The company is proud of its reputation as a good place to work.

Job activities are designed around work teams, and team members are encouraged to interact with people across functions and authority levels. Employees talk positively about the competition between teams. Individuals and teams have goals, and bonuses are based on achievement of outcomes. Employees are given considerable autonomy in choosing the means by which the goals are attained.

Strong Cultures

All organizations have cultures, but not all cultures equally influence employees’ behaviors and actions. **Strong cultures**—those in which the key values are intensely held and widely shared—have a greater influence on employees than weaker cultures. (Exhibit 3-6 contrasts strong and weak cultures.) The more employees accept the

Exhibit 3-5

Contrasting Organizational Cultures

strong cultures

Organizational cultures in which the key values are intensely held and widely shared

Exhibit 3-6**Strong Versus Weak Cultures**

Strong Cultures	Weak Cultures
Values widely shared	Values limited to a few people—usually top management
Culture conveys consistent messages about what's important	Culture sends contradictory messages about what's important
Most employees can tell stories about company history or heroes	Employees have little knowledge of company history or heroes
Employees strongly identify with culture	Employees have little identification with culture
Strong connection between shared values and behaviors	Little connection between shared values and behaviors



Apple's strong culture of product innovation and customer-responsive service reflects the core values of its visionary cofounder, Steve Jobs. Jobs instilled these core values in all employees, from top executives to sales associates, such as the Genius Bar employees shown here training a customer at the Apple Store in Manhattan.

Source: B.O'Kane/Alamy Stock Photo

organization's key values and the greater their commitment to those values, the stronger the culture.

Most organizations have moderate to strong cultures; that is, there is relatively high agreement on what's important, what defines "good" employee behavior, what it takes to get ahead, and so forth. The stronger a culture becomes, the more it affects the way managers carry out their jobs.¹⁰

Research suggests that strong cultures are associated with high organizational performance.¹¹ When values are clear and widely accepted, employees know what they're supposed to do and what's expected of them, so they can act quickly to take care of problems. On the other hand, a strong culture can also prevent employees from trying new approaches, especially when conditions change rapidly.¹²